

ECONOMICS PAPER 1

(Mock Test 36)

Time allowed: 55 minutes

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 40 questions in this paper. Choose the **BEST** answer for each question.

1. A singer is going to hold a concert in Macau. Mr. Cheung spent \$500 on a concert ticket a few months ago. Suppose he can resell the ticket to a friend for \$400. Alternatively, he can spend \$180 on taking a bus to Macau to watch the concert.

What is Mr. Cheung's opportunity cost of going to Macau to watch the concert?

- A. \$400
- B. \$500
- C. \$580
- D. \$1,080

2. Which of the following cases are related to the problem of 'what to produce'?

- (1) A smartphone manufacturer decides to develop a new foldable phone.
- (2) A smartphone manufacturer plans to provide more colour options for existing phone models.
- (3) A smartphone manufacturer considers moving its domestic production line overseas.
- (4) A smartphone manufacturer plans to increase the selling price of its smartphones.

- A. (1) and (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (3) and (4) only

3. Which of the following statements about a private limited company and a public limited company in Hong Kong is **CORRECT**?

- A. A public limited company has more capital than a private limited company.
- B. Compared with a private limited company, a public limited company has wider sources of capital.
- C. A private limited company and a public limited company are required to disclose their financial information to the public.
- D. There is no upper limit on the number of shareholders for both a private limited company and a public limited company.

4. The following are facilities and services that can be found at Hong Kong International Airport.

- (1) public restrooms
- (2) flight information
- (3) security services
- (4) paid luggage storage service provided by the airport

Which of the above items are public goods?

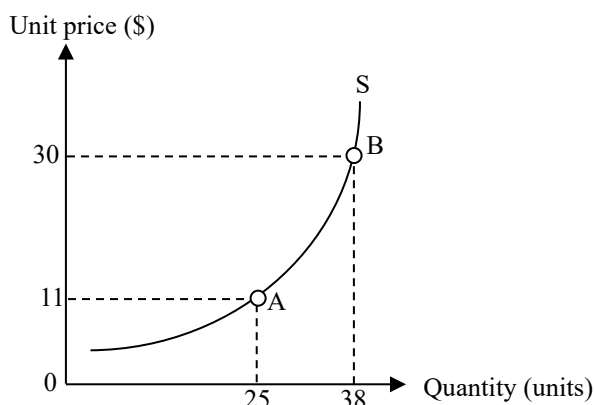
- A. (1) and (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (3) and (4) only

5. In Hong Kong, some organisations hold guided hiking tours on hiking trails managed by the Agriculture, Fisheries and Conservation Department, and participants can enjoy the natural scenery along the way.

In the above case, the hiking trails are _____ because _____.

- A. land ... they are a gift of nature
 - B. land ... they are made from natural resources
 - C. capital ... they require manpower to manage and maintain
 - D. capital ... they are man-made resources used in production
6. As more technology enterprises in Silicon Valley in the United States invest in the development of artificial intelligence, more university graduates may go there to look for job opportunities. In this case, these technology enterprises will
- A. enjoy external economies of scale.
 - B. suffer from external diseconomies of scale.
 - C. enjoy internal economies of scale.
 - D. suffer from internal diseconomies of scale.
7. Miss Chan runs a garment factory. If the rent of the factory and the price of fabrics increase at the same time, the profit-maximising output of the factory will _____ and the profit _____.
- A. increase ... may increase or decrease
 - B. decrease ... may increase or decrease
 - C. increase ... will increase
 - D. decrease ... will decrease
8. A beverage manufacturer launched a new drink, but at the current price, a large stock remains unsold.
- From the information above, we can infer that the quantity transacted of the drink is _____.
- A. equal to the quantity demanded and smaller than the quantity supplied
 - B. equal to the quantity demanded and larger than the quantity supplied
 - C. equal to the quantity supplied and smaller than the quantity demanded
 - D. equal to the quantity supplied and larger than the quantity demanded
9. If the price of _____ decreases, the equilibrium quantity of _____ will decrease.
- (1) butter ... margarine
 - (2) smartphones ... smartphone cases
 - (3) apple juice ... apple pies
 - (4) lamb ... wool
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

10. The following diagram shows the market supply curve of good X.



The arc elasticity of supply between point A and point B is _____.

- A. 0.30
B. 0.45
C. 2.25
D. 3.32
11. Refer to the following supply and demand schedules for good X. Suppose the government has imposed a quota on good X, and the market price is \$8.

Unit price (\$)	4	6	8	10	12
Quantity demanded (units)	7	6	5	4	3
Quantity supplied (units)	5	6	7	8	9

After the government increases the quota on good X, the market price changes by \$2. Which of the following statements about the situation after the increase in the quota is **CORRECT**?

- A. There will be a shortage in the market for good X.
B. The quantity transacted of good X will decrease by 1 unit.
C. Producers' total revenue will decrease.
D. The equilibrium price of the complements of good X will decrease.
12. Refer to the following supply and demand schedules for good X.

Unit price (\$)	9	10	11	12	13	14
Quantity demanded (units)	9	8	7	6	5	4
Quantity supplied (units)	6	8	10	12	14	16

Suppose the government imposes a per-unit sales tax of \$3 on good X. Which of the following statements is **CORRECT**?

- A. The total tax revenue of the government will be \$24.
B. The total revenue net of tax will be \$72.
C. The ratio of consumers' tax burden to producers' tax burden will be 2:1.
D. Within the range of the original and the new equilibrium prices, the elasticity of demand of good X is smaller than one.

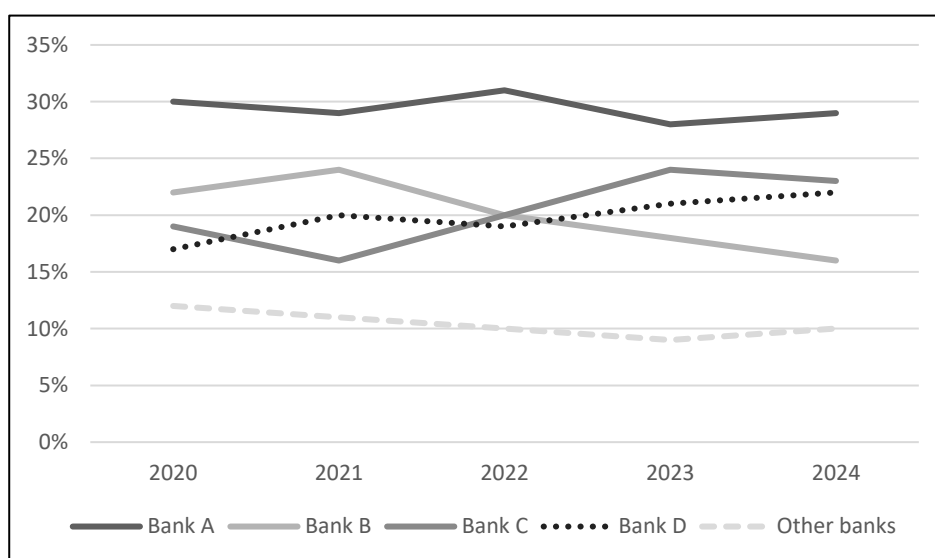
13. Refer to the following market supply schedule for apples.

Unit price (\$)	4	5	6	7	8	9
Quantity supplied (units)	4	6	8	10	12	14

Suppose the original equilibrium price is \$7. If the government provides a per-unit subsidy of \$3 to the producers of apples, the quantity transacted of apples will increase by 2 units. Which of the following statements is **CORRECT**?

- A. The market price will decrease by \$3.
- B. The total subsidy granted by the government is \$24.
- C. The demand for apples is more elastic than the supply of them.
- D. The producers' total revenue including the subsidy is \$96.

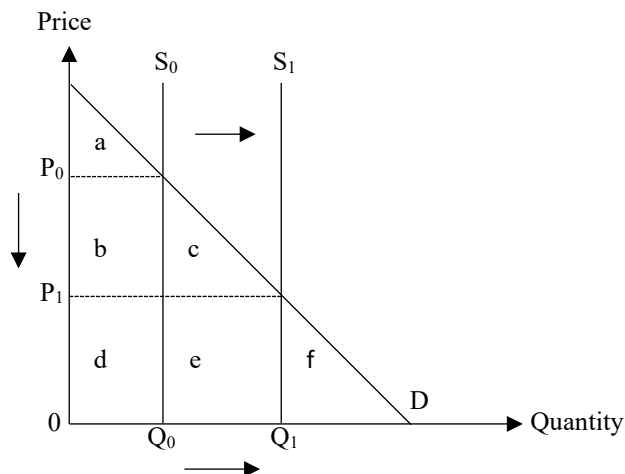
14. The diagram below shows the market share of different banks in the mortgage loan market in Country A in recent years.



Based on the above information, we can conclude that the mortgage loan market in Country A can be regarded as _____ because _____.

- A. monopolistic competition ... there are many banks in the market and each has a small market share
- B. monopolistic competition ... there are many mortgage loan applicants in the market
- C. oligopoly ... the banks are interdependent in their pricing strategies
- D. oligopoly ... a few major banks dominant the mortgage loan market

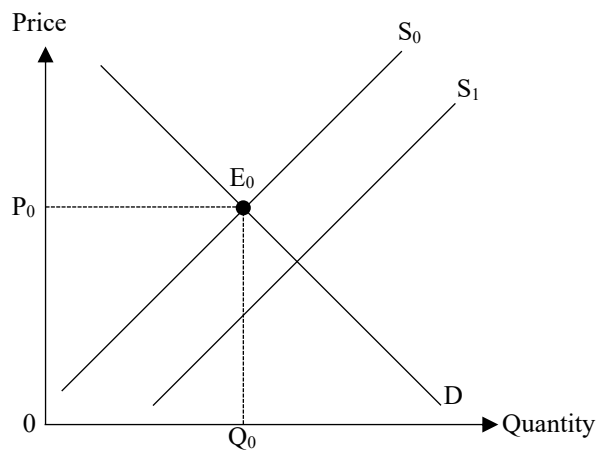
15. Refer to the following supply-demand diagram for good X.



Suppose the supply of good X changes from S_0 to S_1 . As a result, consumer surplus will increase by _____ and total social surplus will increase by _____.

- A. area (a + b + c) ... area (c + e)
- B. area (a + b + c) ... area (c + e + f)
- C. area (b + c) ... area (c + e)
- D. area (b + c) ... area (c + e + f)

16. Refer to the following supply-demand diagram for good X.



Suppose the government sets a price floor at P_0 . When the supply curve shifts from S_0 to S_1 , which of the following statements are **CORRECT**?

- (1) There will be an excess supply in the market of good X.
 - (2) There will be a deadweight loss in the market of good X.
 - (3) The marginal benefit of the last unit of good X will decrease.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

17. Which of the following cases illustrate(s) the allocative function of price?
- (1) A strong preference for electric cars prompts car manufacturers to switch from producing petrol cars to electric cars.
 - (2) An increasing number of tourists encourages developers to build more hotels.
 - (3) A person sells a sofa on a social media platform using the 'highest bidder wins' approach.
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1) and (2) only
18. During the 2024 Summer Olympics, many shopping malls in Hong Kong provided live broadcasts, attracting many people to watch the events and bringing customers to stores near the shopping malls. Which of the following statements is **CORRECT**?
- A. The government needs to subsidise these shopping malls to improve efficiency.
 - B. If the stores do not give any compensation to the shopping malls, the number of broadcasts of Olympic events will be lower than the efficient level.
 - C. There is a divergence between private and social costs.
 - D. If the stores give compensation to the shopping malls, the marginal social benefit will equal the marginal social cost.
19. The table below shows Singapore's Gini coefficient from 2021 to 2023.

	2021	2022	2023
Gini coefficient based on pre-tax pre-social transfer household income	0.444	0.437	0.433
Gini coefficient based on post-tax post-social transfer household income	0.385	0.378	0.371

Based on the above information, we can conclude that, during this period,

- (1) the income distribution in Singapore became more even.
 - (2) government tax revenue decreased while social transfers increased.
 - (3) taxation and social transfers reduced income inequality in Singapore.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

20. In July 2024, the government announced the launch of the 'Re-employment Allowance Pilot Scheme'. Any Hong Kong residents aged 40 or above who have not engaged in any paid work in Hong Kong for 3 consecutive months or more are eligible to join the scheme and receive an allowance of up to \$10,000 after working continuously for 6 months, and an additional allowance of up to \$10,000 after working continuously for 12 months.

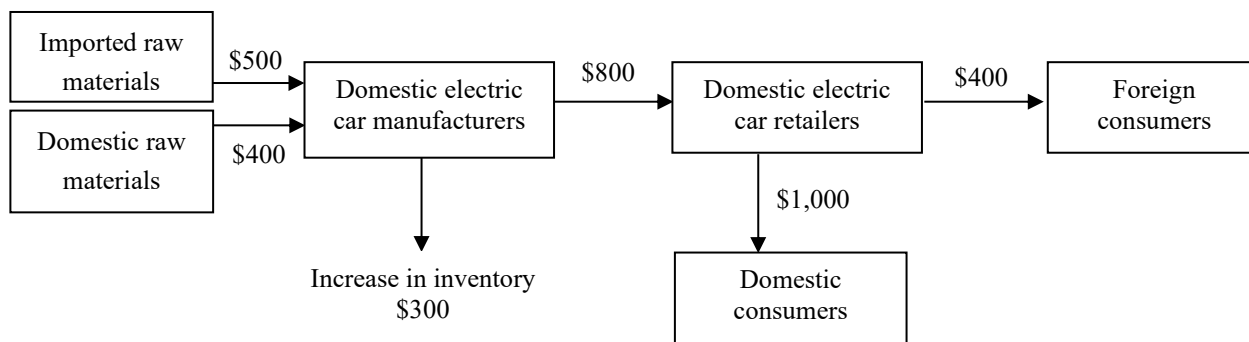
Which of the following would likely occur after the implementation of the above scheme?

- (1) The scheme will help equalise income.
 - (2) Hong Kong's labour supply will increase.
 - (3) The opportunity cost of finding a job for the unemployed aged 40 or above will decrease.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

21. Which of the following would be included in the calculation of Hong Kong's gross domestic product (GDP) in the current year?

- (1) wages paid by the Social Welfare Department to its staff
 - (2) rental income received by a private property owner from leasing office space to the Social Welfare Department
 - (3) the disability allowance provided by the Social Welfare Department
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1) and (2) only

22. The following diagram shows a production chain of electric cars in Country A.



Suppose the government provides a subsidy of \$200 to the domestic electric car manufacturers. The contributions of the domestic electric car manufacturers and the above production chain to Country A's GDP at factor cost are _____ and _____ respectively.

- A. \$200 ... \$1,200
- B. \$200 ... \$1,400
- C. \$400 ... \$1,200
- D. \$400 ... \$1,400

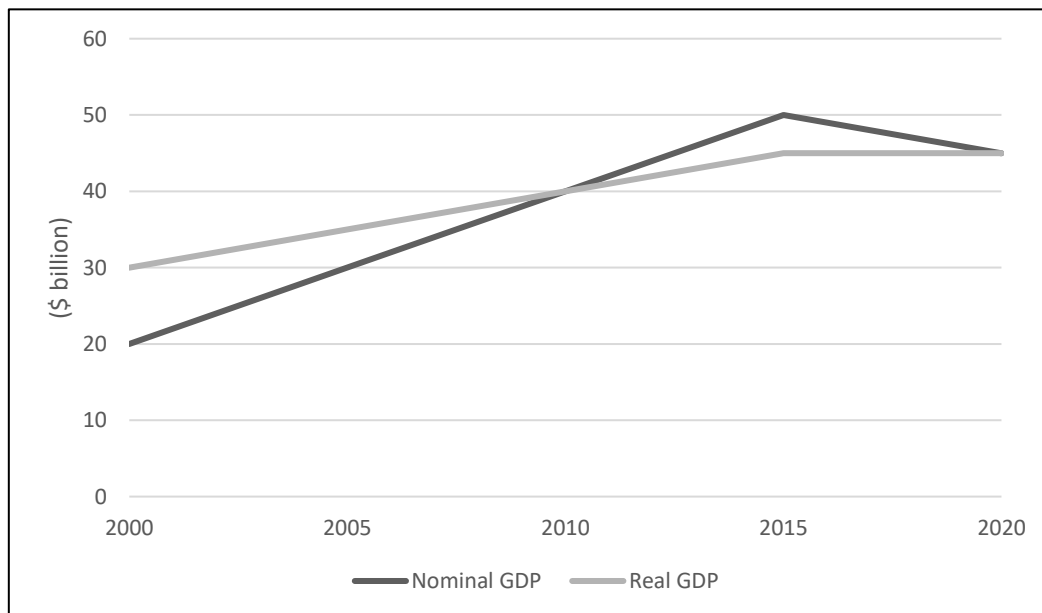
23. Consider the following gross domestic product (GDP) data about Country A in a certain year.

GDP components	\$ million
GDP at factor cost	750
Private consumption expenditure	250
Government consumption expenditure	150
Gross domestic fixed capital formation	200
Change in inventories	X
Depreciation	10
Net exports	180
Total imports	40
Subsidies	12
Indirect taxes	27
Direct taxes	20

The value of X is \$ _____ million.

- A. -25
- B. -15
- C. 5
- D. 25

24. The diagram below shows the GDP of Country A from 2000 to 2020.



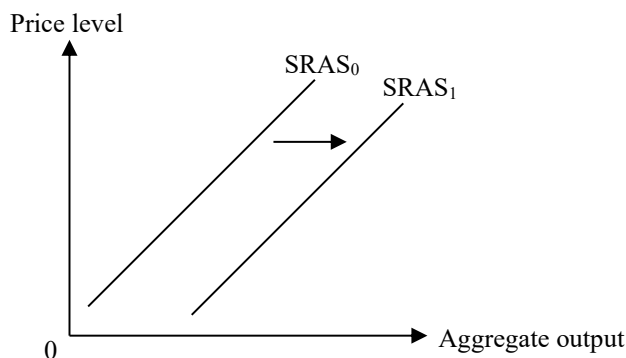
Based on the above diagram, which of the following is **CORRECT**?

- A. The general price level in Country A decreased continuously every year between 2000 and 2010.
- B. The general price level in 2015 was lower than that in 2005.
- C. Country A's nominal GDP and real GDP increased continuously every year between 2000 and 2020.
- D. The GDP deflator in 2010 was the same as that in 2020.

25. Hong Kong's implicit price deflator of GDP increased by 2.8% in 2023, while its nominal GDP and population increased by 6.1% and 0.7% respectively.

Based on the information above, we can conclude that Hong Kong's per capita nominal GDP _____ and its per capita real GDP _____ in 2023.

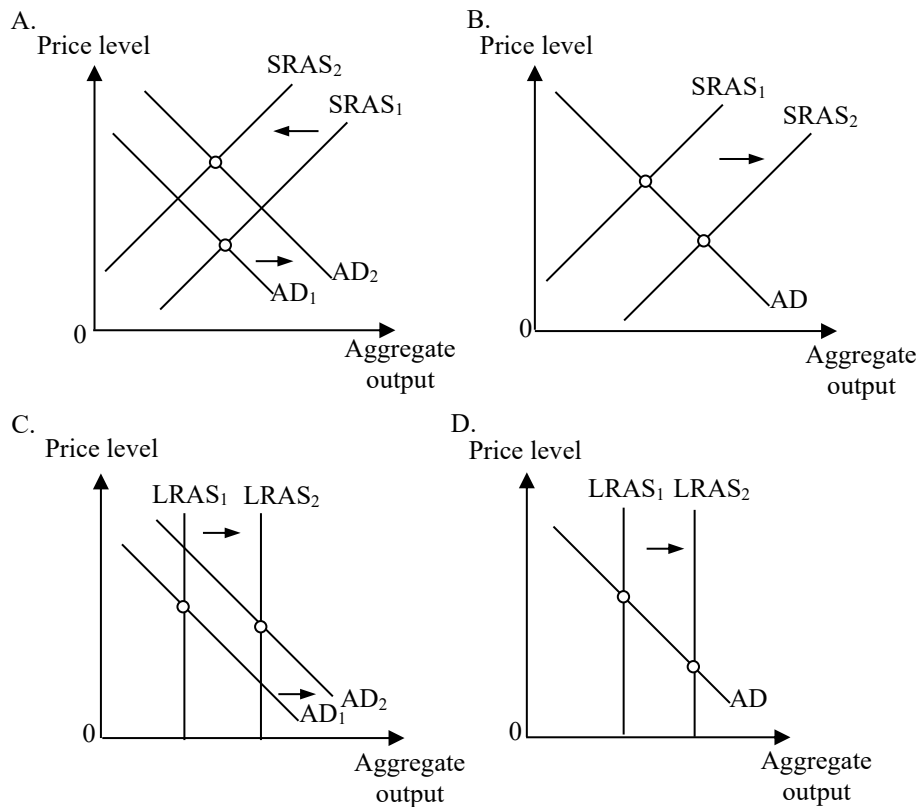
- A. increased ... increased
 - B. increased ... decreased
 - C. decreased ... increased
 - D. decreased ... decreased
26. To calculate Hong Kong's gross national income (GNI), which of the following should be added to Hong Kong's gross domestic product (GDP)?
- A. the dividends received by a Hong Kong resident from shares in South Korea's Samsung Group
 - B. the salary earned by a Hong Kong chef working at a hotel in Japan for two years
 - C. the salary earned by a Hong Kong resident working at the Hong Kong branch of a German company
 - D. the rent received by a Japanese resident from property held in Hong Kong
27. Which of the following will result in a rightward shift of the aggregate demand curve of an economy?
- (1) People increase their savings due to the desire for a better retired life.
 - (2) The economy relaxes visa requirements for foreign travellers.
 - (3) Electronic payments become more common.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
28. Consider the following short run aggregate supply curve for Country A.



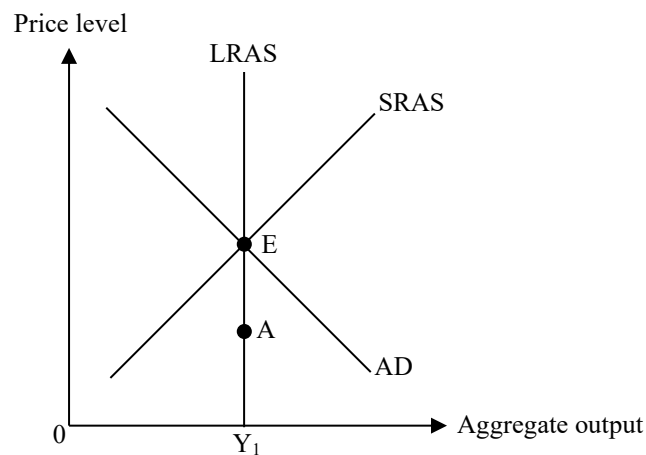
Which of the following would most likely result in the above shift of the short run aggregate supply curve?

- (1) More firms expect the general price level to increase.
 - (2) A major trading partner experiences an economic recovery.
 - (3) More firms use artificial intelligence to assist with production.
 - (4) A major trading partner abolishes its embargo on exporting oil.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

29. A large natural gas field has been discovered in Country A. The government plans to extract natural gas on its own and supply it to domestic households and enterprises. Which of the following diagrams best describes the effect of the above events?



30. Refer to the following AS-AD diagram for Country A.

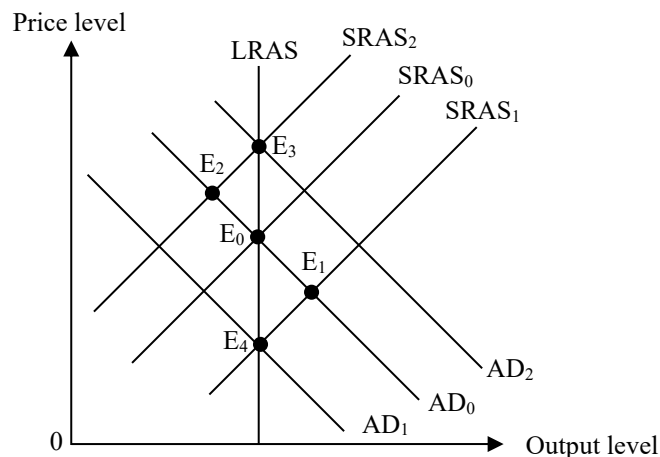


Country A's long run equilibrium point changes from E to A. Which of the following are possible reasons for the change?

- (1) People prefer to use imported cars instead of locally produced cars.
- (2) The price of imported raw materials decreases.
- (3) Firms are pessimistic about business prospects.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

31. Country A's inflationary (output) gap is narrowed while the general price level increases. Which of the following best explains the above changes?
- The transportation cost of raw materials increases.
 - Country A's production technology improves.
 - The government provides subsidies to companies that invest in building factories.
 - The government reduces the living allowance for the elderly.
32. The stock market in Country A has been booming recently, and therefore people are buying more locally produced goods. Which of the following would offset the effect of the above event on aggregate output in the short run?
- Many manufacturers suspend production due to severe flooding.
 - A billionaire funds the construction of a new university.
 - A large-scale strike in Country A comes to an end.
 - The government lowers the general sales tax rate.
33. Country A is an oil-importing country. The diagram below shows the aggregate demand (AD) curve, the short run aggregate supply (SRAS) curve and the long run aggregate supply (LRAS) curve of Country A. The country initially operates at E_0 .



If the oil pipelines of a major oil-exporting country are damaged, Country A's short run equilibrium will be at _____ and its long run equilibrium will be at _____.

- $E_1 \dots E_0$
 - $E_1 \dots E_4$
 - $E_2 \dots E_0$
 - $E_2 \dots E_3$
34. Which of the following can narrow the deflationary (output) gap and help equalise opportunities in an economy at the same time?
- distributing the same amount of cash to all households
 - arranging for more civil servants to study abroad
 - providing subsidies on medicine for patients with chronic diseases
- (1) only
 - (2) only
 - (3) only
 - (1), (2) and (3)

35. Refer to the following pamphlet of a bank:

Preferential HKD Time Deposit

Exclusive time deposit offer for new customers.
Deposit HK\$100,000, and you will receive HK\$6,000
in interest after one year.



Which of the following are the functions of money that are performed by the Hong Kong dollar in this case?

- (1) unit of account
- (2) store of value
- (3) standard of deferred payment

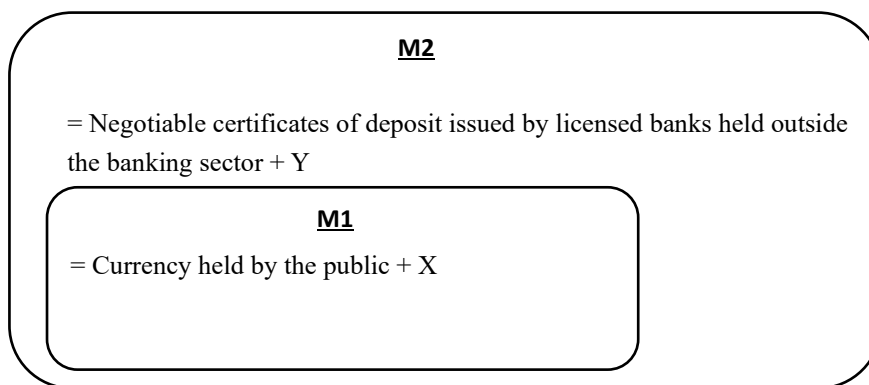
- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

36. Alex sold a car for \$300,000 in cash. He plans to deposit the money in a financial institution as a time deposit for three months. Which of the following financial institutions in Hong Kong can accept his deposit?

- (1) licensed banks
- (2) deposit-taking companies
- (3) restricted licence banks

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

37. The following diagram shows the relationship between money supply M1 and M2 in Hong Kong.



In the above diagram, the components X and Y are _____ and _____ respectively.

- A. reserves with licensed banks ... all customers' deposits with licensed banks
- B. customers' demand deposits with licensed banks ... customers' savings deposits with licensed banks
- C. customers' demand deposits with licensed banks ... customers' savings and time deposits with licensed banks
- D. all customers' deposits with licensed banks ... all customers' deposits with restricted licence banks

38. Study the following information about the banking system of a country. The public always hold \$100 million in cash.

Monetary base	\$600 million
Money supply	\$1,100 million
Excess reserves	\$100 million

Based on the above information, which of the following statements is **CORRECT**?

- A. The required reserves are \$500 million.
- B. The actual banking multiplier is 2.
- C. If the public withdraw \$50 million from the banking system, the excess reserves will immediately drop by \$50 million.
- D. If the banks lend out all their excess reserves, the money supply will increase by \$200 million.

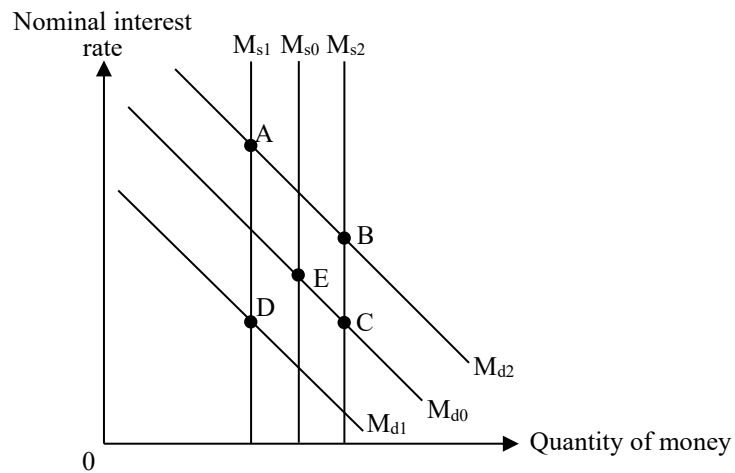
39. Refer to the following balance sheet of a banking system. Suppose the public always hold \$50 million in cash and the required reserve is \$250 million.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	400	Deposits	1,000
Loans	600		

If the required reserve ratio is lowered by 5 percentage points and the banks are fully loaned up, which of the following statements about the banking system are **CORRECT**?

- (1) Loans will increase by \$1,000 million.
 - (2) The money supply will increase by \$1,000 million.
 - (3) The monetary base will decrease by \$200 million.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

40. The following diagram shows the money supply and money demand curves of an economy. The initial equilibrium point is at E.



Suppose the central bank lowers the required reserve ratio, and at the same time, the income of the public rises. The new equilibrium point will be at _____.

- A. A
- B. B
- C. C
- D. D

END OF PAPER